

Consumption spending, investment expenditures, government expenditures and net exports are:

- ▶ The components of household income.
- ▶ The components of aggregate supply.
- ▶ **The components of aggregate demand**
- ▶ The components of government revenue.

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- ▶ **Keynesian economics.**
- ▶ Neoclassical economics.

According to classical economics, the economy will always tend toward full employment due to:

- ▶ Minimum wages.
- ▶ **Flexible wages and prices.**
- ▶ Extended periods of unemployment.
- ▶ Inequality between saving and investment.

The real interest rate will increase:

- ▶ **If there is an excess supply of loanable funds in the financial markets.**
- ▶ If there is an excess demand for loanable funds in the financial markets.

► If there is an excess supply of loanable funds in the foreign exchange markets.

► If there is an excess demand for loanable funds in the foreign exchange markets.

A source of fluctuations in investment spending is:

- Changes in government expectations of future output growth.
- Changes in household's expectations about future output growth.
- Changes in household's expectations about future risk.
- **Changes in investor's expectations about future profits.**

What does the term "balance of payment deficit" refer to?

- An increase in official international reserves.
- A positive statistical discrepancy.
- A negative statistical discrepancy.
- **A decline in official international reserves.**

M1 component of money supply consists of:

- Paper currency and coins.
- **Paper currency, coins and check writing deposits.**
- Paper currency, coins, check writing deposits and savings deposits.
- Paper currency, coins, check writing deposits, savings deposits

When one producer can produce a given amount of output with fewer inputs, which of the following would occur?

- Comparative advantage.

- ▶ Comparative disadvantage.
- ▶ **Absolute advantage.**
- ▶ Absolute disadvantage.

The concave shape of the production possibilities curve for two goods X and Y illustrates:

- ▶ **Increasing opportunity cost for both goods.**
- ▶ Increasing opportunity cost for good X but not for good Y.
- ▶ Increasing opportunity cost for good Y but not for good X.
- ▶ Constant opportunity cost for both goods.

When college students leave town for the summer, the demand for meals at the local restaurants decline. This results in:

- ▶ A decrease in equilibrium price and an increase in quantity of meal.
- ▶ An increase in equilibrium price and quantity of meal.
- ▶ **A decrease in equilibrium price and quantity of meal.**
- ▶ An increase in equilibrium price and a decrease in quantity of meal.

A demand curve is price elastic when:

- ▶ **Changes in demand are proportionately greater than changes in price.**
- ▶ Changes in demand are equal to changes in price.
- ▶ None of the given options.
- ▶ Changes in demand are proportionately smaller than changes in price.

The numerical measurement of a consumer's preference is called:

- ▶ Use.

- ▶ Pleasure.
- ▶ **Utility.**
- ▶ Satisfaction.

Which of the following is TRUE about price-consumption curve for good X?

- ▶ Nominal income falls as the price of X falls.
- ▶ The absolute price of X falls, but the relative price between X and the composite good Y stays the same.
- ▶ It is always downward sloping for a normal good.

▶ It represents only those market baskets that are optimal for the given price ratio and preference pattern and therefore a demand curve can be plotted from it.

Marginal profit is equal to:

- ▶ Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

The supply curve for a competitive firm is:

- ▶ Its entire marginal cost curve.
- ▶ The upward-sloping portion of its marginal cost curve.
- ▶ Its marginal cost curve above the minimum point of the average variable cost curve.

▶ Its marginal cost curve above the minimum point of the average total

cost curve.

Second-degree price discrimination is the practice of charging:

- ▶ The reservation price to each customer.
- ▶ **Different prices for different blocks of the same good or service.**
- ▶ Different groups of customers different prices for the same products.
- ▶ Each customer the maximum price that he or she is willing to pay.

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ **Monopolistically competitive.**
- ▶ Oligopolistic.

The market structure in which strategic considerations are most important is:

- ▶ Monopolistic competition.
- ▶ **Oligopoly.**
- ▶ Pure competition.
- ▶ Pure monopoly.

The price elasticity of demand for any good must be less than or equal to zero unless:

- ▶ The good is a necessity.
- ▶ The good is a luxury.
- ▶ **The good is a Giffen good.**

- ▶ None of the given options.

What would result from a depreciation of the pound on the foreign exchange market?

- ▶ An increase in the price of imported computers.
- ▶ A fall in the purchasing power of US tourists in London.
- ▶ **A fall in the price of imported computers.**
- ▶ An increase in the purchasing power of UK tourists overseas.

The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

- ▶ The dollar can now purchase more yen.
- ▶ The US trade balance with the Japanese economy has improved.
- ▶ **The yen can now purchase more dollars.**
- ▶ The dollar has depreciated relative to the yen.

In Keynesian economics, if aggregate expenditures are less than aggregate output then:

- ▶ The price level rises.
- ▶ Inventories decrease.
- ▶ Employment decreases.
- ▶ **Aggregate output increases.**

In the Keynesian cross model, the aggregate expenditure line has a slope of:

- ▶ 1.
- ▶ 0.

► Infinity.

► **Less than 1.**

Demand is elastic when the elasticity of demand is:

► Greater than 0 but less than 1.

► **Greater than 1.**

► Less than 0.

► Equal to 1.

Which of the following statements is TRUE about cartels?

► These are considered as part of monopolistic competition.

► these are organizations of independent firms, producing similar products, that work together to raise prices and restrict output.

► **these are organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.**

► These are organizations of independent firms, producing different products, that work together to raise prices and restrict output.

After the collusion, oligopolists are able to:

► Raise price but not restrict output.

► Raise price and restrict output but not attain the monopoly profit.

► **Raise price and restrict output and therefore attain the monopoly profit.**

► Restrict output but not raise price.

Which of the following statements is TRUE about the difference between nominal and real Gross Domestic Product (GDP)?

► Real GDP includes only goods; nominal GDP includes goods and services.

► **Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.**

► Real GDP is equal to nominal GDP less the depreciation of the capital stock.

► Real GDP is equal to nominal GDP multiplied by the CPI.

If production remains the same and all prices double, then which of the following will happen?

► Real GDP and nominal GDP will both remain constant.

► Real GDP will remain constant and nominal GDP will reduce by half.

► **Real GDP will remain constant and nominal GDP will double.**

► Real GDP will double and nominal GDP will remain constant.

The situation when a country imports more than it exports is known as:

► **A trade deficit.**

► A trade surplus.

► An expansion.

► A recession.

Public investment expenditure for highways, schools, and national defense is included in which component of GDP?

► Consumption.

► Gross private investment.

► **Government purchases.**

► Public investment.

The government has a balanced budget if:

- ▶ Its total revenues are equal to its total expenditures.
- ▶ Its total revenues are less than its total expenditures.
- ▶ Its total revenues are greater than its total expenditures.
- ▶ The money supply is less than total expenditures.

In general, personal income taxes:

- ▶ Rise automatically during a recession.
- ▶ Rise automatically during an expansion
- ▶ Fall automatically during an expansion.
- ▶ Remains same in all phases of economic fluctuations.

A tax on individual's income is known as:

- ▶ Sales tax.
- ▶ . Excise tax
- ▶ Corporate income tax.
- ▶ Personal income tax.

Which of the following is TRUE for banks?

- ▶ They deal with money only.
- ▶ They deal with shares and assets.
- ▶ They not only deal with money but also create money.
- ▶ They deal with money but do not create money.

In a period of boom, credit creation is:

- ▶ Small.

► **Heavy.**

► Unchanged.

► Zero.

What will be the impact of an increase in taxes?

► It will shift the IS curve to the left and decrease both the interest rate and the level of income.

► It will shift the IS curve to the right and increase both the interest rate and the level of income.

► It will shift the IS curve to the right and increase the level of income but decrease the interest rate.

► **It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.**

To determine whether an economy's output is growing or shrinking, one must keep track of:

► Changes in nominal GDP.

► Changes in the growth rate of nominal GDP.

► Changes in the general price level.

► **Changes in real GDP.**

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

► **The demand curve for airline travel shifts left.**

► The demand curve for airline travel shifts right.

- ▶ The supply curve of airline travel shifts left.
- ▶ The supply curve of airline travel shifts right.

Production possibilities curve will shift upward if there is:

- ▶ A reduction in unemployment.
- ▶ **An increase in the production of capital goods.**
- ▶ A reduction in discrimination.
- ▶ All of the given options.

Which of the following is NOT included in the perfect information assumption of perfect competition?

- ▶ Consumers know their preferences.
- ▶ Consumers know their income levels.
- ▶ Consumers know the prices available.
- ▶ **Consumers can anticipate price changes.**

Suppose a monopolist set his output at the level where marginal revenue, marginal cost and average total cost are equal. In this case, economic profit will be:

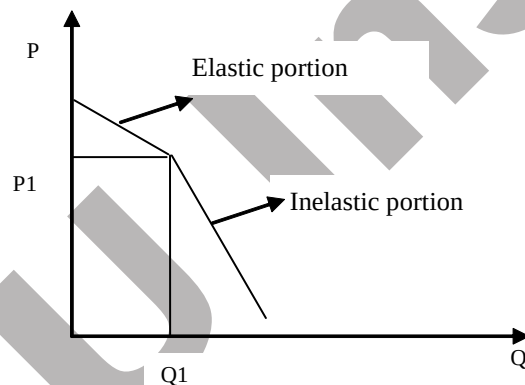
- ▶ Negative.
- ▶ **Positive.**
- ▶ Zero.
- ▶ Indeterminate from the given information.

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

- ▶ The economic perspective.
- ▶ Marginal analysis.
- ▶ Allocative efficiency.
- ▶ **Opportunity cost.**

Questions:

1. Differentiate between the terms flow and stock.
2. What should be the optimal role of government in an economy according to the Classical school of thought? Discuss.
3. Explain the difference between current account and capital account.



4. (A) The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?
(B) What are the major advantages that an oligopoly offers for public interests?

5. The items of balance sheet of State Bank of Pakistan are given as follows:

Forex reserves = Rs. 500

Notes and coins = Rs. 800

Credit to government = Rs. 200

Government and commercial bank deposits = Rs. 300

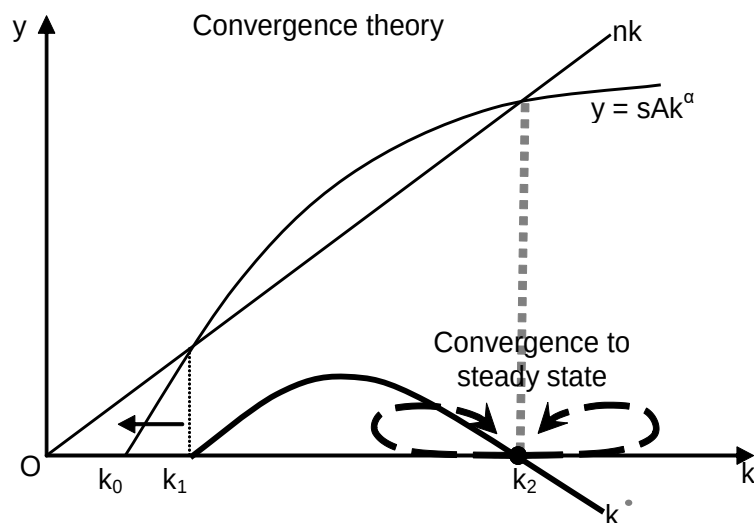
Credit to private sector = Rs. 700

Liquidity paper = Rs. 300

Prepare the balance sheet in its proper format of asset and liabilities side.

Also calculate total assets and total liabilities.

- 6. Briefly discuss the private cost of advertising. How we can calculate the marginal social cost?**
- 7. What conclusions are derived from exogenous growth theory?**
- 8. What is meant by convergence theory? Explain the convergence theory in the given graph.**



9. Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?
10. Difference between Contractionary and Expansionary Fiscal Policy: